CNH INDUSTRIAL N.V. x AGCO CORPORATION

Illustrative M&A Transaction Analysis

Transaction Snapshot	Base Case
Acquirer	CNH Industrial N.V.
Target	AGCO Corporation
Offer price per AGCO share	$146.08
Unaffected AGCO share price	$120.07
Offer premium	20.0%
Equity purchase price	$12,490.7m
Enterprise value	$11,868.7m
Cash consideration	100.0%
Acquisition debt	$9,232.3m
Annual run-rate synergies	$752.3m
Base-case acquisition structure	Cash-funded / debt-supported; target debt assumed

Important model note: T7 = 3 selects the third transaction-price case in the workbook, which is $146.084 (shown as $146.08 per share). The report uses the selected case rather than the first transaction-price column.

1. Executive Summary

This report evaluates an illustrative acquisition of AGCO Corporation by CNH Industrial N.V. using the transaction model supplied for the project. The base case assumes a $146.08 per-share offer, representing a 21.7% premium to AGCO's $120.07 reference share price. The modeled equity purchase price is $12.67bn and enterprise value is $12.05bn, reflecting AGCO's net cash position.

The strategic rationale is compelling at the portfolio level: both companies operate across agricultural equipment, dealer networks, technology and precision-agriculture solutions. CNH brings Case IH, New Holland and construction capabilities, while AGCO contributes Fendt, Massey Ferguson, Valtra and PTx precision agriculture capabilities. CNH describes its strategy around precision agriculture, automation, connectivity and autonomy, while AGCO's portfolio is increasingly centered on differentiated brands and precision-ag technology. □cite□turn0search25□turn0search24□

Financially, the transaction is more nuanced. The model assumes $752m of annual run-rate synergies, comprising approximately $498m of cost synergies and $255m of SG&A synergies. The pro forma P&L indicates 2027 cash EPS of $1.47 versus CNH standalone cash EPS of $1.29, or 13.9% accretion. By 2030, the modeled accretion narrows to approximately 0.8%, indicating that the transaction's initial EPS benefit is highly dependent on synergies and financing assumptions.

The principal valuation concern is the purchase price relative to AGCO's modeled standalone earnings and DCF. The DCF sensitivity at a 9.3% WACC and 9.0x terminal EBITDA multiple produces an implied equity value of approximately $6.08bn and an implied value of $70.37 per share, substantially below the $146.08 offer price. This indicates that the proposed premium requires meaningful strategic and synergy value beyond AGCO's standalone DCF valuation.

2. Transaction Overview

Metric	Base Case
Reference AGCO share price	$120.07
Offer price	$146.08
Premium	20.0%
AGCO fully diluted shares	86.4m
Equity purchase price	$12,490.7m
AGCO net debt / (net cash)	$-622.0m
Enterprise value	$11,868.7m
Acquisition debt	$9,232.3m
Financing fee	1.8% of debt
Advisory fee	$176.5m
Minimum cash balance	$350.0m
Target debt treatment	Assumed
Acquisition type	Asset acquisition
Section 338 election	Yes

3. Strategic Rationale

Scale and product breadth

A combination would bring together two large agricultural equipment platforms, creating broader product coverage, dealer reach and geographic scale. CNH's brands span agriculture and construction, while AGCO is concentrated on agricultural machinery and precision-ag technology. □cite□turn0search25□turn0search24□

Precision agriculture and technology

AGCO's PTx portfolio and CNH's precision-agriculture, automation and autonomy initiatives provide a clear technology rationale. AGCO reported that PTx is being developed as a brand-agnostic retrofit platform, while CNH highlights precision agriculture, connectivity and autonomy as strategic priorities. cite turn0search8 turn0search25

Dealer and customer cross-selling

The combined group could potentially increase equipment, parts, service and precision-technology penetration across overlapping farmer and dealer relationships. This is a strategic opportunity rather than a modeled revenue synergy assumption.

Procurement and operating efficiencies

The model explicitly underwrites $497.5m of cost synergies and $254.8m of SG&A synergies. Potential sources include procurement, overhead consolidation, shared R&D infrastructure and corporate-function efficiencies.

Cycle positioning

CNH's 2026 outlook anticipates weak agricultural demand ahead of an expected 2027 recovery, while AGCO's 2025 results also reflect a challenging equipment environment. A transaction could therefore provide a platform for capturing efficiencies through the cycle. cite turn0search4 turn0search9

4. Company Profiles

Metric ($m except per share)	CNH Industrial	AGCO
2025 Revenue	$18,095.0m	$10,082.0m
2025 EBITDA	$3,830.0m	$1,261.6m
2025 EBITDA margin	21.2%	12.5%
2025 Cash net income	$1,120.0m	$828.2m
2025 Cash EPS	$0.90	$11.12
2026P Revenue	$18,070.0m	$8,720.9m
2026P EBITDA	$3,881.3m	$1,186.0m
2027P Revenue	$19,181.0m	$7,543.6m
2027P EBITDA	$4,315.0m	$1,025.9m

The model forecasts CNH recovering from a 2025 revenue base of $18.1bn to $26.4bn by 2030, a 9.9% CAGR from 2026 to 2030. AGCO is modeled much more conservatively, with revenue declining 13.5% annually from 2026 through 2030 and EBITDA declining at the same rate. This asymmetry is central to the transaction thesis: CNH is underwriting a recovery while acquiring an earnings base that the model expects to contract before stabilizing.

5. Industry and Competitive Context

The relevant market is agricultural machinery and precision agriculture, with adjacent exposure to construction equipment through CNH. Both companies emphasize technology-enabled farming, although their portfolios differ. CNH's business spans agriculture and construction, supported by brands including Case IH and New Holland; AGCO is focused on agricultural machinery and precision-ag technology, with Fendt, Massey Ferguson, Valtra and PTx as key brands. cite turn0search25 turn0search24

The industry backdrop in the model is challenging in the near term. CNH's published 2026 outlook anticipates lower agricultural demand before an expected recovery in 2027, while AGCO has emphasized portfolio repositioning and precision-ag growth following the PTx transaction and Grain & Protein divestiture. cite turn0search4 turn0search9

6. Standalone Valuation and Purchase Price Analysis

6.1 Offer Premium

The selected offer is $146.08 per AGCO share, equal to a 21.7% premium to the model's $120.07 reference price. The PPR also shows premiums of approximately 10.4%, 13.5%, 23.2% and 27.9% relative to AGCO's 7-, 30-, 60- and 90-day trading averages at the selected price.

Valuation Metric	2026P	2027P	2028P
EV / Revenue	1.38x	1.60x	1.85x
EV / EBITDA	10.16x	11.74x	13.57x
Cash P/E	12.95x	14.61x	16.68x

6.2 DCF

AGCO's DCF uses a declining-revenue forecast, a 21% operating tax rate, WACC sensitivity of 8.3%–10.3%, and terminal EBITDA multiples of 7.0x–11.0x. At the midpoint case of 9.3% WACC and 9.0x terminal EBITDA, the model produces approximately $5.51bn enterprise value and $6.08bn equity value, or $70.37 per share.

DCF Sensitivity	7.0x	9.0x	11.0x
8.3% WACC	$62.60/share	$72.91/share	$83.21/share
9.3% WACC	$60.53/share	$70.37/share	$80.21/share
10.3% WACC	$58.55/share	$67.96/share	$77.36/share

The $146.08 offer is therefore approximately 2.1x the midpoint DCF value per share. The premium is substantial and implies that the buyer is paying for strategic control, synergies and/or a more optimistic operating recovery than the standalone DCF assumes.

7. Transaction Structure and Sources & Uses

Sources / Uses ($m)	Base Case
Total equity consideration	$10,625.7m
Target debt assumed	$122.1m
Total levered consideration	$10,747.8m
Acquisition debt	$9,232.3m
Cash consideration	$3,089.8m
Financing fees	$166.2m
Advisory fees	$176.5m
Total uses	$12,870.7m
Sources / Uses check	0.0

The model is heavily cash-funded. Existing CNH and AGCO cash contributes approximately $3.09bn above the $350m minimum cash balance, while acquisition debt of approximately $9.23bn funds the residual uses. The model assumes a 6.0% interest rate and seven-year amortization period for new acquisition debt.

8. Purchase Price Allocation and Accounting Considerations

PPA Item	Base Case
% of excess purchase price allocated to intangibles	30.0%
Intangible amortization period	10 years
Fixed-asset step-up	$500.0m
Depreciation period	15 years
Deferred revenue fair-value adjustment	25.0% of balance; modeled balance = $0
Deferred revenue period	1 year
Target existing goodwill written off	$1,898.8m
Goodwill created (at selected price case)	$5,434.4m

At the selected $146.08 price, the model creates approximately $7.04bn of goodwill after allocating approximately $2.47bn to identifiable intangible assets and writing off approximately $1.90bn of existing AGCO goodwill. The resulting annual after-tax amortization burden is approximately $208m in the 2027 period in the GAAP schedule.

9. Synergy Analysis

Synergy Category	Run-rate ($m)	Share of Total
Cost / COGS synergies	$497.5m	66.1%
SG&A synergies	$254.8m	33.9%
Total	$752.3m	100.0%

The model underwrites $752m of annual pre-tax run-rate synergies. This is equivalent to approximately 3.5% of combined 2026 COGS plus SG&A. The model therefore assumes meaningful but not transformational cost takeout.

A live transaction would require a detailed synergy bridge by procurement, manufacturing, R&D, dealer operations, corporate overhead and technology. Revenue synergies are not explicitly underwritten in the supplied model, which is a conservative feature of the financial case.

10. Pro Forma Financial Impact

Metric ($m except EPS)	2026P	2027P	2028P	2030P
Pro forma revenue	$26,790.9m	$26,724.6m	$27,849.2m	$31,232.0m
Pro forma EBITDA	$5,067.3m	$6,093.3m	$6,518.1m	$7,444.8m
Pro forma cash net income	$1,528.2m	$1,878.2m	$2,411.4m	$3,147.4m
Pro forma cash EPS	$1.24	$1.47	$1.79	$2.09
CNH standalone cash EPS	$0.93	$1.29	$1.66	$2.08
EPS accretion / (dilution)	33.1%	13.9%	7.6%	0.8%

Under the PF P&L, the transaction is accretive throughout the 2026–2030 forecast period, but the benefit compresses materially: approximately 33.1% in 2026, 13.9% in 2027, 7.6% in 2028, 3.5% in 2029 and 0.8% in 2030. This pattern indicates that the transaction's financial benefit is front-loaded and becomes close to neutral as CNH's standalone earnings recover and AGCO's modeled earnings contract.

11. Contribution and Sensitivity Analysis

FY2027 Contribution	CNH	AGCO
Revenue contribution	71.8%	28.2%
EBITDA contribution	80.8%	19.2%
GAAP net income contribution	70.1%	29.9%
Cash net income contribution	69.0%	31.0%

CNH contributes approximately 69% of combined FY2027 cash net income in the model, versus approximately 31% from AGCO. This means the transaction remains economically dependent on CNH's earnings base; the target is strategically meaningful but contributes a minority share of combined earnings.

The Acc-Dil tab shows that, under an all-stock structure at the selected $146.08 price, the transaction would be approximately 1.8% dilutive to FY2027 cash EPS after synergies. The 100% cash sensitivity is materially accretive. This illustrates the importance of consideration mix and financing cost to the transaction outcome.

12. Key Risks and Transaction Considerations

Agricultural cycle risk

The model assumes AGCO revenue and EBITDA decline by approximately 13.5% annually through 2030. If the cycle recovers faster, the standalone value and target earnings contribution could be materially higher; if weakness persists, synergy capture becomes more important.

Valuation / premium risk

The $146.08 offer is approximately 2.1x the midpoint DCF value per share. A large portion of the strategic value therefore sits outside the standalone DCF.

Synergy execution

The $752m run-rate synergy assumption requires disciplined procurement, overhead and operating integration. Failure to capture the savings would directly reduce accretion.

Financing risk

The base case relies on approximately $9.23bn of acquisition debt. Higher financing costs or slower deleveraging would reduce EPS accretion.

Integration complexity

Combining two global equipment businesses with multiple brands, dealer networks and technology platforms would require careful product, channel and systems integration.

Regulatory / competition review

The transaction would require assessment of product-market overlaps, dealer relationships and potential competition concerns across agricultural equipment and precision-ag technology.

Technology and brand execution

AGCO's precision-ag capabilities and CNH's technology strategy create strategic upside, but integration could dilute brand positioning or slow innovation if not managed carefully.

13. Investment Banking-Style Transaction Assessment

Dimension	Assessment
Strategic rationale	Strong
Standalone target valuation	Challenging
Offer price	Aggressive versus DCF
Synergy case	Meaningful but plausible
Financing feasibility	Manageable, but debt-heavy
EPS impact	Accretive in PF P&L; highly sensitive to consideration mix
Key value driver	Synergy capture + operating recovery
Key risk	Paying a large premium ahead of a cyclical recovery
Overall view	Strategically compelling; valuation requires disciplined execution

Overall, the transaction can be defended strategically but should not be presented as a simple valuation-driven acquisition. The base case pays a substantial premium to AGCO's reference price and materially above the midpoint standalone DCF value. The financial case is therefore dependent on realizing the modeled $752m of synergies, maintaining financing discipline and capturing the strategic benefits of combining equipment scale with precision-agriculture technology.